

Organization Behaviour — Easy Summary Notes

Modules 1 to 5 explained in simple language for quick revision

MODULE 1: Introduction to Organizational Behaviour

What is OB?

Organizational Behaviour (OB) is simply the study of how people act and interact inside a workplace — what motivates them, how they behave in teams, and how all this affects how well the company does. Understanding this helps managers improve teamwork, communication and overall efficiency.

Where OB Borrows Ideas From

OB is not a single subject — it mixes ideas from several fields:

- **Psychology** — studies individual behaviour (personality, motivation, learning).
- **Sociology** — studies group behaviour and how people relate to each other.
- **Social Psychology** — mix of psychology + sociology; how people influence each other.
- **Anthropology** — studies culture and its effect on behaviour.
- **Political Science** — studies power, conflict and politics in groups.
- **Engineering** — studies work measurement and productivity.

What OB Covers (Scope)

OB looks at four main areas:

- **Individual Behaviour** — personality, attitudes, motivation, learning.
- **Group Dynamics** — communication, leadership, teamwork, conflict.
- **External Environment** — economy, technology, society, laws, global competition.
- **Organizational Structure** — hierarchy, roles, how work is coordinated.

Why OB Matters

Studying OB helps build better relationships at work, brings coordination, improves motivation and efficiency, and helps the organization use its people and resources well.

History of OB (How It Developed)

Era / Thinker	Main Idea in Simple Words
Before 1750	Mostly farming and small craft work — no formal management ideas.
Industrial Revolution (1750–1900)	Big factories appeared, creating new problems of how to manage large groups of workers.
Taylor — Scientific Management	Find the most efficient way to do a task using time/motion studies. Criticized for treating workers like machines.
Weber — Bureaucracy	Clear hierarchy, rules and impersonal decision-making for efficiency, but it can be rigid.

Fayol — Administrative Management	Gave the POLC framework: Plan, Organize, Lead, Control.
Mayo — Hawthorne Studies	Discovered that social/psychological factors (feeling cared for) affect productivity more than just pay or lighting.
Maslow — Hierarchy of Needs	People are motivated by needs in order: basic survival → safety → social → esteem → self-actualization.
McGregor — Theory X & Y	Theory X: workers are lazy and need control. Theory Y: workers are self-motivated and enjoy responsibility.
Contingency & Systems Theory	There is no single "best" way to manage — it depends on the situation; organizations are open systems interacting with their environment.
Today (2000s–present)	Focus on diversity, mental health, remote work, emotional intelligence.

MODULE 2: Personality, Perception and Attitude

Personality

Personality is the stable set of traits and tendencies that make a person behave consistently over time. Four main theories explain it:

- **Psychoanalytical Theory (Freud)** — personality is shaped by the conflict between Id (desires), Ego (reality check) and Super-ego (conscience).
- **Trait Theory** — personality is a collection of traits like aggressive, friendly, or impulsive that describe behaviour patterns.
- **Self-Concept Theory (Carl Rogers)** — people behave according to how they see themselves (their self-image).
- **Social Learning Theory** — personality is built from what we learn from our environment, through rewards and punishments.

Perception

Perception is how we notice, organise, and make sense of the world around us using our senses. It has 7 steps: **Stimuli → Attention → Recognition → Translation → Behaviour → Performance → Satisfaction.**

Perception is shaped by many things:

- **Perceiver's traits** — attitude, motives, interest, habits, experience, expectations, personality.
- **External factors** — size, intensity, contrast and repetition of the stimulus.
- **Internal factors** — psychological state, social/economic background, learning, motivation.
- **Organization structure** — how decentralised or centralised the company is.
- **Social factors** — stereotyping, halo effect, contrast effect, projection.

Attitude

Attitude is how we feel about a person, object, or situation — it shows up as a tendency to act in a certain way. Attitudes have 3 parts:

- **Evaluative (feeling)** — liking or disliking something.
- **Cognitive (belief)** — what we know or believe about it.
- **Behavioural (action)** — how we actually act because of that feeling and belief.

Attitudes can be measured using the **Thurston Scale**, **Likert's Scale** (the common "strongly agree to strongly disagree" scale), or through **interviews**.

Important work-related attitudes include: **job satisfaction** (liking your job), **job involvement** (how much you identify with your job), **organisational commitment** (wanting to stay and support the company), and **employee engagement** (how energetically invested you are in your work).

Learning Theories

- **Cognitive Learning** — learning by actively understanding, thinking and solving problems.
- **Social Learning Theory (Bandura)** — learning by watching and copying others.

- **Operant Conditioning (Skinner)** — behaviour changes based on rewards or punishments that follow it.
- **Classical Conditioning (Pavlov)** — learning by associating two things together (like Pavlov's dogs linking a bell with food).
- **Behaviorism** — focuses only on observable behaviour, not on inner feelings.

MODULE 3 & 4: Groups, Power and Politics

What is a Group and Why People Form Groups

A group is two or more people working together towards a shared goal. People form groups to: get tasks done, solve problems together, because they are physically close to each other (proximity), or for social/psychological comfort like safety and belonging.

Stages of Group Development

Stage	What Happens
Forming	Members come together, decide purpose, structure and leadership.
Storming	Members express different views, conflicts start appearing.
Norming	Members settle differences and start bonding — trust and cohesion build up.
Performing	The group becomes fully productive and works towards its goals.
Adjourning	The group dissolves once the task/goal is complete.

Types of Groups

- **Formal Groups** — created officially by the organization: **Command groups** (manager + reporting staff) and **Task groups** (people working on a specific project).
- **Informal Groups** — form naturally for social reasons: **Friendship groups**, **Interest groups**, **Reference groups** (used as a comparison point), and **Membership groups** (any group a person actually belongs to).

Power

Power is the ability to influence or control someone else's behaviour. It comes from two main sources:

Interpersonal sources (French & Raven):

- **Legitimate power** — power that comes from one's official position.
- **Reward power** — ability to give rewards.
- **Coercive power** — ability to punish.
- **Expert power** — power from special knowledge or skill.
- **Referent power** — power from personal charisma that makes people want to follow you.

Structural sources: Knowledge, control of resources, and the ability to influence decisions.

Power Tactics

People use 9 common tactics to influence others: **Assertiveness**, **Bargaining**, **Coalition (forming alliances)**, **Friendliness**, **Higher Authority (asking a senior person to step in)**, **Reason (logic)**, **Rules and Procedure**, **Sanctions (reward/punishment)**, and **Symbolic protests (strikes, slowdowns)**.

Organizational Politics

Politics means using power and influence to get what you want, especially when there's uncertainty or disagreement about decisions. Common political tactics: **networking, coalition building, lobbying, controlling information, favoritism, and impression management.**

Politics happens more when there is: scarce resources, unclear roles/policies, conflicting goals, or major organizational change.

It can have **positive effects** (driving innovation, resolving conflict, helping careers) and **negative effects** (lower morale, less trust, inefficiency, higher staff turnover). It is best managed through transparency, clear policies, a positive culture, and training people in ethical influence.

MODULE 5: International Organizational Behaviour (IOB)

What is IOB?

International Organizational Behaviour studies how people and groups behave inside companies that work across different countries. Since management and leadership styles vary a lot between cultures (e.g., American vs Japanese vs Chinese styles), understanding cultural differences becomes essential for global business.

Key Cultural Dimensions

- **Self Image** — some cultures see people as naturally trustworthy, others as naturally suspicious.
- **Relationship with the World** — some cultures try to dominate their environment (e.g., USA), others try to live in harmony with it (e.g., many Asian cultures).
- **Individualism vs Collectivism** — individualist cultures (USA, UK, Canada) value personal achievement; collectivist cultures (Japan, China) value group harmony and loyalty.
- **Time Orientation** — some cultures focus on the present/near future (USA), some value the past more (Europe), and some plan long-term (Japan).
- **Public vs Private Space** — Western cultures often prefer private offices; Japanese workplaces are often more open, with bosses sitting among employees.

Cross-Cultural Communication Problems

- **Perceptual problems** — people interpret the same situation differently based on their own viewpoint.
- **Stereotyping** — assuming someone fits a fixed "type" because of their culture, ignoring individual differences.
- **Ethnocentrism** — believing your own culture is superior to others, which creates friction.

How Culture Affects Workplace Behaviour

- **Communication style** — high-context cultures (Japan, China) rely on implied meaning; low-context cultures (USA, Germany) prefer direct, explicit communication.
- **Leadership style** — hierarchical cultures (India, Mexico) prefer top-down decisions; egalitarian cultures (Sweden) prefer participative leadership.
- **Motivation** — individualist cultures reward personal achievement; collectivist cultures reward team achievement.
- **Decision-making** — some cultures value group consensus (Japan); others value fast, individual decisions (USA).
- **Conflict handling** — some cultures avoid direct confrontation and prefer mediation (China, Japan); others openly confront issues (USA, Israel).

Motivation Differences Across Cultures

- **Religion** — religious values can shape work ethics and motivation.
- **Uncertainty Avoidance** — people comfortable with uncertainty switch jobs more easily; people who avoid uncertainty prefer stable, specialized roles.

- **Power Distance** — in countries like the USA/UK/Canada, people resist accepting that others hold more power, so empowerment programs work well there.

Current Trends in OB

- Remote and hybrid work becoming standard.
- Greater focus on employee mental health and well-being.
- Diversity, Equity and Inclusion (DEI) initiatives.
- AI, automation, and continuous upskilling.
- Agile, flexible organizational structures.
- Sustainability and Corporate Social Responsibility (CSR).
- Stronger focus on overall employee experience and engagement.

Future Challenges in OB

Organizations will need to manage remote/distributed teams, keep up with fast-changing technology, protect employee well-being, balance automation with human jobs, handle economic/political uncertainty, meet sustainability goals, and keep employees engaged — all while staying ethical and people-focused.

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